UNSHAKEABLE FINANCIAL PARTNERS

A NOTE FOR BUSINESS OWNERS

Amplify Your Business Through Smart Finance

How a business-owned cash-value life insurance policy can protect the company, help keep key people and help fund a buyout, with the costs and trade-offs explained.

Three jobs one policy can help with

Key-person protection	If an insured key person dies, the death benefit is paid to the business to help cover lost profit and the cost of replacing them.
Buy-sell funding	The death benefit can fund the purchase of a deceased owner's share. Cash value may help with a buyout during life. Ownership affects taxes, so your attorney should set the structure.
Key-employee retention	The business can promise selected employees a supplemental retirement benefit that vests over time and use policy values to help pay it. This is deferred compensation and must be documented under IRC 409A.

What it costs and what to know

Premiums	Generally not tax-deductible for business-owned coverage. Plan on 10 or more years of steady funding.
Access	Policy loans or withdrawals; loans accrue interest, and surrender charges apply in early years. It is not a checking account.
Growth	Tax-deferred inside the policy. Indexed credits have a cap and a floor and can be zero; fees still apply.
Rules	The insured employee must give written notice and consent before the policy is issued for the death benefit to generally stay income-tax free (IRC 101(j)). Benefit promises are general obligations of the business.

Often a fit: consistently profitable businesses with key people or partners and cash flow they can commit for the long term. **Usually not a fit:** tight or uneven cash flow, money you may need back within a few years, or a short-term need that term insurance would cover more cheaply.

Want to see how this looks for you?

Book a free 15-minute call with Tracy Hoth, a licensed insurance agent: unshakeablefinancial.com · (435) 232-3234. No obligation. If it isn't a fit, we'll tell you.

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